Module 9
Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

<u>SECTION B – WRITTEN QUESTIONS</u> (Total: 80 marks)

<u>Answer 1(a)</u>

BB Limited
Depreciation allowance
Year of assessment 2017/18
Basis period: 1 November 2017 – 31 January 2018

	20% pool	30% pool	Allowance
	HK$	HK$	HK$
Cost	400,000	500,000	
I.A. – 60%	(240,000)	(300,000)	540,000
	160,000	200,000	
A.A.	(32,000)	(60,000)	92,000
WDV c/f	128,000	140,000	632,000

*HK$300,000 + HK$100,000
**HK$350,000 + HK$150,000

Year of assessment 2018/19
Basis period: 1 February 2018 – 31 January 2019

			Allowance
	HK$	HK$	HK$
WDV c/f	128,000	140,000	
Additions	50,000	300,000	
	178,000	440,000	
I.A. – 60%	(30,000)	(180,000)	210,000
	148,000	260,000	
Disposal	(10,000)		
	138,000		
A.A.	(27,600)	(78,000)	105,600
WDV c/f	110,400	182,000	315,600

Answer 1(b)

BB Limited
Profits tax computation
Period: 1 November 2017 – 31 January 2019

	HK$
Net profit	608,000
Less: Rental income	(150,000)
	458,000
Add: Initial contributions to MPF scheme	800,000
Annual contribution to MPF scheme in respect of Mr Lee	
(HK$150,000 – HK$750,000 x 15%)	37,500
Refundable deposit	50,000
Legal fee re first tenancy agreement	15,000
Fines	22,000
Second-hand motor-car	150,000
Donations	260,000
Depreciation	454,000
Sundry expenses	20,000
Adjusted profit before depreciation allowance	2,266,500

BB Limited
Assessable profits computation
Year of assessment 2017/18
Basis period: 1 November 2017 – 31 January 2018

Adjusted profit: HK$2,266,500 x 3/15		453,300
Less: Initial contributions to MPF schemes (HK$800,000 x 1/5)	160,000	
Depreciation allowance	632,000	
Prescribed fixed assets – computer	250,000	
Commercial building allowance	80,000	(1,122,000)
Loss for the year and c/f		(668,700)

Year of assessment 2018/19
Basis period: 1 February 2018 – 31 January 2019

Adjusted profit: HK$2,266,500 x 12/15		1,813,200
Less: Initial contributions to MPF schemes	160,000	
Depreciation allowance	315,600	
Commercial building allowance	80,000	(555,600)
		1,257,600
Less: Approved charitable donations		
Lesser of 35% on HK$1,257,600 or HK$260,000 x 12/15		(208,000)
Assessable profit		1,049,600
Less: Loss b/f and set-off		(668,700)
Net assessable profit		380,900

Answer 1(c)

Interest from overseas customers on overdue accounts
Interest from customers on overdue accounts is chargeable to profits tax as the interest is part and parcel of the trading transactions carried out by BB Limited in Hong Kong.

Interest on loan to Mr Lee, the director
Interest with a Hong Kong source received by a corporation carrying on business in Hong Kong is deemed a trading receipt and is chargeable to profits tax under s.15(1)(f) of the Inland Revenue Ordinance. BB Limited is carrying on business in Hong Kong and the interest received from Mr Lee has a Hong Kong source as the loan is available to Mr Lee in Hong Kong. The interest is chargeable to profits tax.

Answer 2(a)

As mentioned in the DIPN 10, the Inland Revenue Department will accept that an employment is located outside Hong Kong where the following three factors are present:

(a) the contract of employment was negotiated and entered into and is enforceable outside Hong Kong;
(b) the employer is a resident outside Hong Kong; and
(c) the employee's remuneration is paid to him outside Hong Kong.

Although the employment contract between Paul and EE Limited was negotiated and executed in Country A, the employment contract is enforceable in Hong Kong. As EE Limited is a company carrying on business in Hong Kong, it is a resident in Hong Kong. Also, Paul's remuneration is paid to him in Hong Kong. Based on the facts of the case, it is likely that Paul's employment with EE Limited is located in Hong Kong.

Answer 2(b)

Paul
Holiday journey benefit
Year of assessment 2018/19

	HK$
Total expenditure paid by EE Limited	100,000
Less: Expenditure attributable to Mary's trip	(50,000)
	50,000
Less: Cost of air-ticket of Paul	(20,000)
	30,000
Less: Amount attributable to business trip (HK$30,000 x 8/20)	(12,000)
	18,000
Add: Mary's trip expenses	50,000
	68,000

Answer 2(c)

Paul
Salaries tax computation
Year of assessment 2018/19

	HK$	HK$
Salaries		1,400,000
Shares award (100,000 x HK$10)		1,000,000
Holiday journey benefit		68,000
		2,468,000
Rental value (HK$2,468,000 – HK$2,500) x 10%	246,550	
Less: Rent suffered (HK$5,000 x 12)	(60,000)	186,550
Total assessable income		2,654,550
Less: Subscription		(2,500)
Net assessable income		2,652,050
Less: Approved charitable donations	120,000	
MPF contributions	18,000	(138,000)
		2,514,050
Less: Married person's allowance	264,000	
Child allowance	120,000	(384,000)
Net chargeable income		2,130,050
Tax at progressive rate: HK$(2,130,050 – 200,000) x 17% + HK$16,000		344,108
Tax at standard rate: HK$2,514,050 x 15%		377,107
Salaries tax		344,108
Less: Tax reduction		(20,000)
Salaries tax payable		324,108

Answer 3(a)

As mentioned in DIPN 21, the Inland Revenue Department considers that source of the manufacturing profits is the place where the manufacturing process is operated. The place where the manufactured goods are sold is irrelevant. If the goods are manufactured in Hong Kong, the profits arising from the sale of goods will be fully taxable. Where a Hong Kong taxpayer manufactures goods that are partly in Hong Kong and partly outside Hong Kong, a fifty-fifty apportionment may be applied.

Answer 3(b)

If GG Limited wants to object against the 2018/19 profits tax assessment, the following requirements are to be fulfilled:

(1) the notice of objection must be in writing;
(2) the notice of objection must be received by the Commissioner of Inland Revenue ("CIR") within one month from the date of issue of the notice of assessment; and
(3) the notice of objection must state precisely the ground of objection.

However, if the person is prevented from giving notice of objection within the one-month period because:

(1) he was absent from Hong Kong;
(2) he was sick; or
(3) of any other reasonable cause,

the CIR may extend the one-month period for lodging an objection as may be reasonable in the circumstances.

Unless GG Limited has any reasonable ground prevented it to give notice of objection, GG Limited should give the notice of objection which should be received by the CIR on or before 1 March 2020.

Answer 4(a)

East Limited
Commercial building allowance
Year of assessment 2018/19

	HK$
Cost of construction (HK$3,000,000 x 50%)	1,500,000
Less: A.A. for 2014/15 to 2017/18 (HK$1,500,000 x 4% x 4)	(240,000)
Residue of expenditure before sale	1,260,000
Less: Sales proceeds (HK$2,800,000 x 50%)	(1,400,000)
Balancing charge	(140,000)

Answer 4(b)

West Limited
Commercial building allowance
Year of assessment 2017/18

		Allowance
	HK$	HK$
Residue of expenditure before sale	1,260,000	
Add: Balancing charge	140,000	
	1,400,000	
Less: A.A. (HK$1,400,000 x 1/23)	(60,870)	60,870
WDV c/f	1,339,130	

Year of first use: 2014/15
25^{th} year after first use: 2039/40
Year of sale to West Limited: 2017/18
No. of years from 2017/18 to 2039/40 = 23 years

Decoration	500,000	
Less: A.A. (HK$500,000 x 4%)	(20,000)	20,000
WDV c/f	480,000	80,870

Answer 5(a)

John
Property tax computation
Year of assessment 2018/19

	HK$
Rent (HK$15,000 x 12)	180,000
Premium (HK$30,000 x 12/36)	10,000
	190,000
Less: Rates	(1,200)
	188,800
Less: 20% statutory deductions	(37,760)
Net assessable value	151,040

Answer 5(b)

John
Personal assessment
Year of assessment 2018/19

	HK$	HK$
Net assessable value		151,040
Net assessable income		840,000
Assessable profit		390,000
		1,381,040
Less: Mortgage interest		(30,000)
		1,351,040
Less: Approved charitable donations*	190,000	
Home loan interest	80,000	
MPF contributions	18,000	(288,000)
		1,063,040
Less: Business loss		(200,000)
Reduced total income		863,040

*(HK$1,351,040 + HK$210,000) x 35% – HK$210,000 = HK$336,364
Restricted to HK$400,000 – HK$210,000 = HK$190,000

Answer 6(a)

Red Limited and Blue Limited are not associated corporations, the stamp duty relief under s.45 of the Stamp Duty Ordinance ("SDO") does not apply. Also, the debts waived by Blue Limited are treated as part of the consideration for the conveyance of the office property and therefore HK$8 million is the deemed consideration under s.24(1) of the SDO:

Ad valorem duty ("AVD") = HK$8 million x 7.5% = HK$600,000

Special stamp duty and Buyer's stamp duty are not applicable as the office property conveyed is a non-residential property. Special stamp duty and Buyer's stamp duty are applicable to residential property only.

However, s.24(2) of the SDO provides a relief of debt waived. Blue Limited may apply to the Collector of Stamp Duty for adjudication to adopt the lower value of the transferred asset as a stamping value, ignoring the debts waived.

If Blue Limited applied for relief under s.24(2), the Collector may accept the stamping value as HK$7 million. If so, the AVD will become HK$7 million x 7.5% = HK$525,000.

Answer 6(b)

Although Blue Limited and Yellow Limited are associated corporations, s.45 exemption for transfers between associated corporations is not applicable to lease agreement. Stamp duty payable on the original lease agreement:

AVD = HK$40,000 x 12 x 1% = HK$4,800

Copy of the lease agreement is charged stamp duty HK$5.

* * * END OF EXAMINATION PAPER * * *